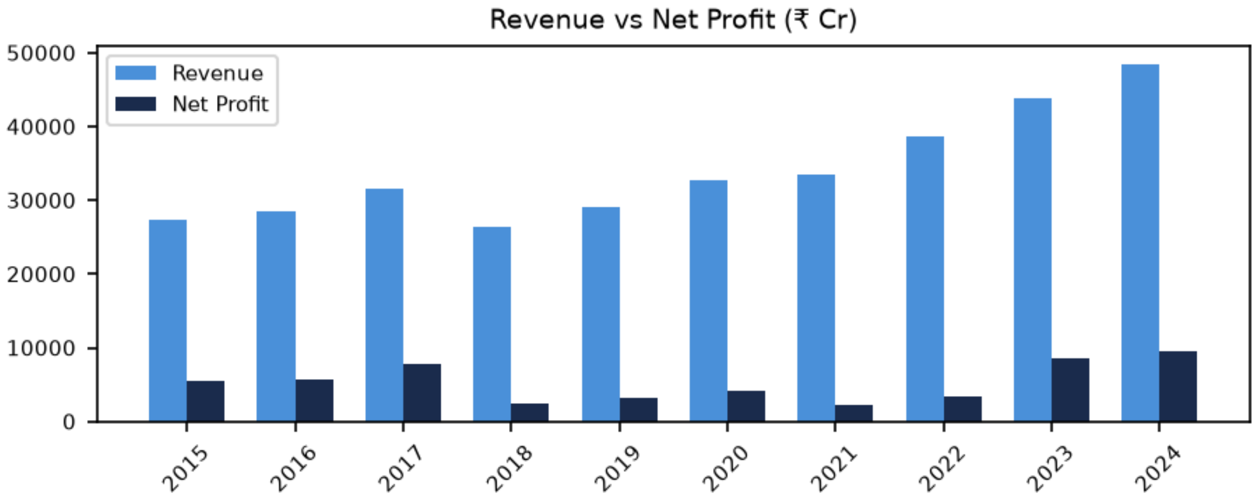
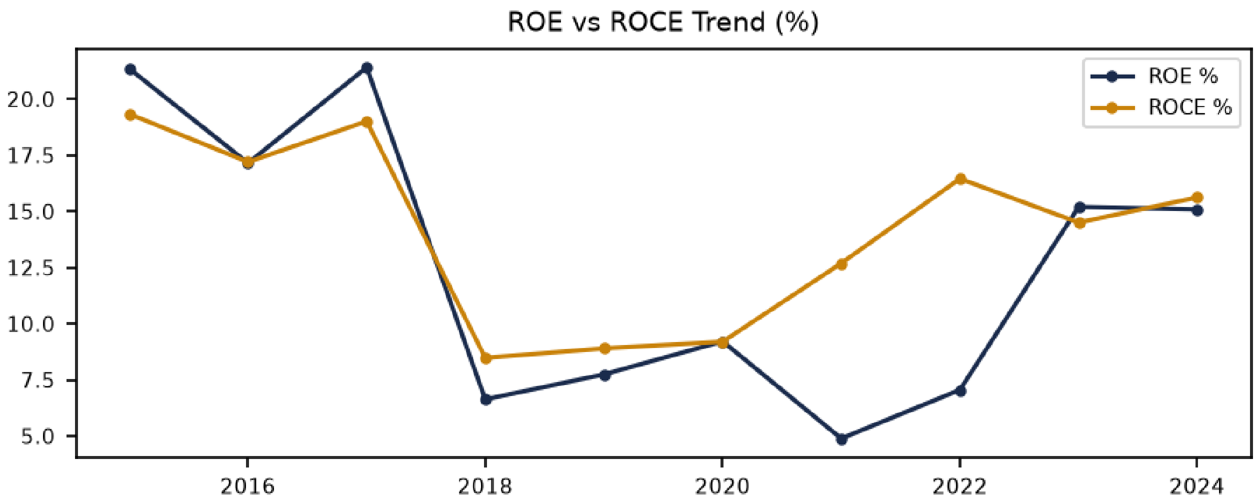
Sun Pharmaceuticals Industries Ltd

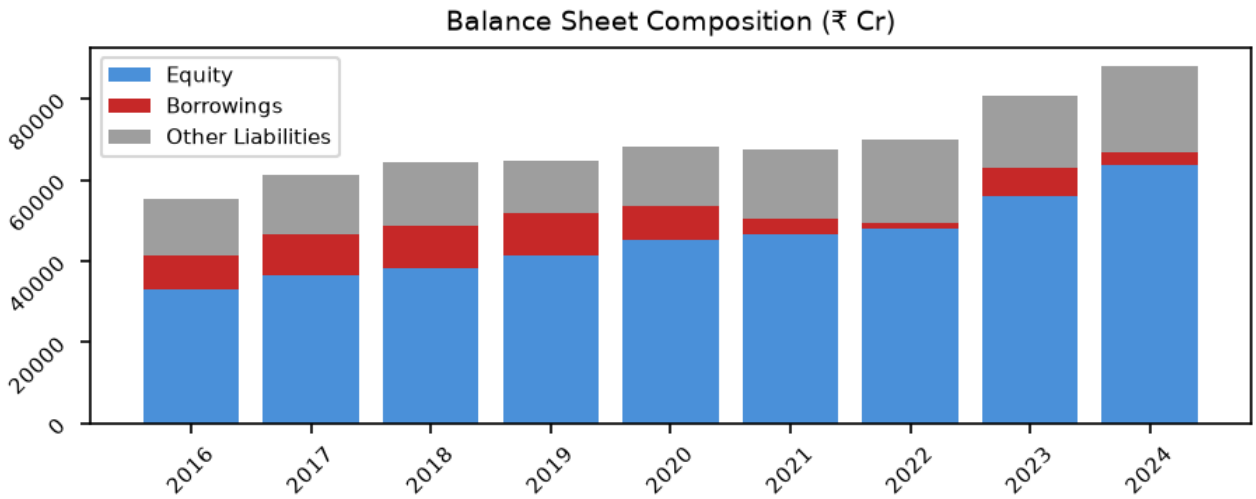
SUNPHARMA · Healthcare

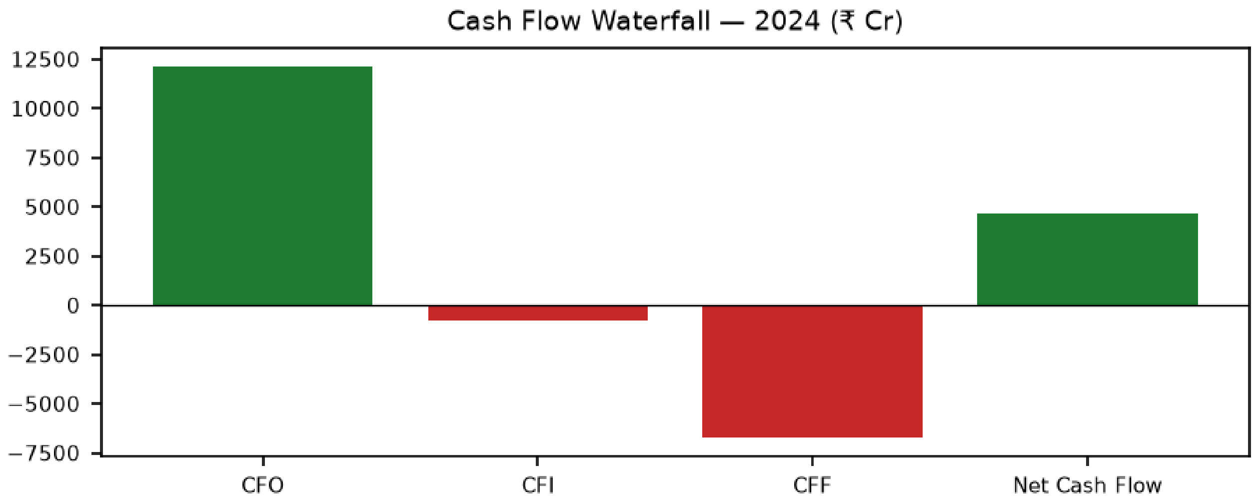
ROE	ROCE	Net Profit Margin
15.1%	15.6%	19.8%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.05	10.8%	■11,372 Cr









Pros

✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

✓ Growing asset base funded by internal accruals reflects self-sustaining growth

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

✓ Consistent dividend yield above 2% backed by positive free cash flow

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

✗ Debt-to-equity ratio of 0.05 is a factor worth monitoring given the company's capital structure

Capital Allocation: Reinvestor